

EvergreenHSA Custodial Services — Health Savings Account Tax Documents

Account holder: Curtis R. Vandermolen | TIN: XXX-XX-8856 | HSA Account: EVG-HSA-55218 | Tax year 2025

Form 1099-SA — Distributions From an HSA OMB No. 1545-1517

1	Gross distribution	6,800.00
2	Earnings on excess contributions	0.00
3	Distribution code (1 = Normal)	1
4	FMV on date of death	0.00
5	HSA / Archer MSA / MA MSA	HSA

Box 1 reports the total amount distributed (withdrawn) from your HSA during the year, including amounts paid by debit card, check, and electronic transfer. The custodian does not determine whether a distribution was used for qualified medical expenses; you must report that on Form 8889.

Form 5498-SA — HSA Contribution Information OMB No. 1545-1518

1	Archer MSA contributions (prior + current year)	0.00
2	Total HSA contributions made in 2025	9,200.00
3	Total HSA contributions made in 2026 for 2025	0.00
4	Rollover contributions	0.00
5	Fair market value of HSA on 12/31/2025	7,400.00
6	HSA / Archer MSA / MA MSA	HSA

Box 2 includes BOTH the contributions made through your employer's cafeteria plan (reported on your Form W-2, box 12, code W) AND any direct contributions you made yourself. See the contribution detail on the next page to separate the two.

Contribution Detail — 2025

Source	Amount	Reported on
Employer / cafeteria payroll (pre-tax)	5,200.00	W-2 box 12 code W
Direct contribution by account holder (post-tax)	4,000.00	Form 8889, line 2
Total contributions (5498-SA box 2)	9,200.00	

The 2025 family HSA contribution limit is \$8,550. Total contributions to this account exceeded that limit. Excess contributions that are not withdrawn by the tax filing deadline are subject to an additional tax; see Form 5329, Part VII and Form 8889.

Distribution Detail — 2025

Date	Method / Merchant	Amount	Category (per receipts)
Various	HSA debit card — pharmacy, dental, copays, vision	4,950.00	Qualified medical (receipts on file)
Various	HSA debit card — groceries, fuel, household, other	1,850.00	Not substantiated as medical
	Total distributions (1099-SA box 1)	6,800.00	

The custodian provides this categorization based on merchant codes and the receipts you uploaded to the member portal; the portion not substantiated as a qualified medical expense is shown for your records. You are responsible for the final determination on Form 8889.

How to Report Your HSA on Form 8889

Part I (Contributions). Enter your direct contributions on line 2 and your contribution limit on line 3. Employer and cafeteria-plan contributions (W-2 box 12, code W) are entered on line 9 and are already excluded from your wages — do not deduct them again. Your HSA deduction on line 13 is limited to the smaller of your direct contributions or your remaining limit after employer contributions.

If total contributions exceed your annual limit, the excess is generally included in income (to the extent it came from your own contributions) and may be subject to a 6% excise tax on Form 5329, Part VII, until withdrawn.

Part II (Distributions). Enter your total distributions (1099-SA box 1) on line 14a and the portion used for qualified medical expenses on line 15. The difference (line 16) is included in your income. Unless an exception applies, an additional 20% tax on the taxable amount is entered on line 17b and carried to Schedule 2.

Qualified Medical Expenses — General Information

Qualified medical expenses are those that would generally qualify for the medical and dental expenses deduction, such as amounts paid for doctors, dentists, prescription medicines, and certain premiums. Expenses that are merely beneficial to general health — such as groceries, vitamins for general well-being, or household goods — are not qualified medical expenses.

Distributions used for nonqualified expenses are included in your gross income and, if you are under age 65 and no other exception applies, are subject to an additional 20% tax. Keep receipts to substantiate that distributions were used for qualified medical expenses.

Instructions for Recipient (Forms 1099-SA and 5498-SA)

Form 1099-SA reports distributions; Form 5498-SA reports contributions and the year-end fair market value of your account. The fair market value (5498-SA box 5) reflects the balance remaining in your account, which can be invested; uninvested balances remain in cash and do not earn market returns.

Retain these forms with your tax records. The custodian also files copies with the IRS.

Investing Your HSA Balance

Your HSA includes an optional investment feature. Balances above the cash threshold set in your account may be invested in a menu of mutual funds, where they have the potential to grow tax-free and may be used for qualified medical expenses at any time, including in retirement.

Funds left uninvested remain in the cash account and earn only the posted cash rate; they do not participate in market returns. Many account holders who use their HSA primarily as a spending account keep the full balance in cash. Whether to invest depends on your time horizon and your expected near-term medical spending.

There is no 'use it or lose it' rule for an HSA — unspent balances roll over year to year and remain yours, unlike a flexible spending arrangement (FSA).

HSA Eligibility and HDHP Rules

To contribute to an HSA you must be covered under a qualifying high-deductible health plan (HDHP), have no other disqualifying coverage, not be enrolled in Medicare, and not be claimed as a dependent on someone else's return. Family HDHP coverage allows the family contribution limit.

The annual contribution limit includes amounts contributed by your employer and through a cafeteria plan (W-2 box 12, code W) as well as direct contributions you make. If you turn 55 during the year, an additional catch-up contribution is permitted.

Distributions used for qualified medical expenses are tax-free at any age. Distributions not used for qualified medical expenses are included in income and, before age 65, are subject to an additional 20% tax.

Correcting Excess Contributions

An excess contribution occurs when total contributions for the year exceed your applicable limit. Excess amounts are subject to a 6% excise tax for each year they remain in the account, reported on Form 5329, Part VII.

You can avoid the excise tax by withdrawing the excess contribution, along with any earnings on it, by the due date of your tax return (including extensions). The withdrawn earnings are included in your income for the year. Contact the custodian to request an excess-contribution removal; do not treat it as an ordinary distribution.

If the excess is not removed in time, the 6% excise applies to the smaller of the excess or the year-end fair market value of the account, and it can recur in future years until corrected.